



Technical analysis

GLOBAL PRICE DATA

Because stock, bond, and currency markets around the world are linked, investors look for signals from Asia to determine the direction of markets in Europe and the US.



TECHNICAL PREDICTIONS

Rather than looking at a company's detailed financial data to determine its worth, investors use price charts to help predict movements.



TRADING VOLUMES

Investors use trading volumes as well as price data to help predict the movements of shares, an index, or other financial instruments.

GLOBAL DATA ANALYSIS

Asian markets open up to 8 hours ahead of European and US markets due to the time difference. Because stock, bond, and currency markets around the world are intimately linked, what happens on the Asian markets can affect markets in the Eurozone, UK, or US, and have a bearing on opening prices when these markets begin trading later in the day. For this reason, investors often look for signals from Asia to determine the likely direction of other markets.



NEED TO KNOW

- **Hedging** A strategy that involves investors buying shares they think are likely to rise in price while also selling shares they think will fall, in order to maintain a market-neutral position.
- **Technical analysis** Research aimed at identifying patterns that indicate if a share is trending up or down.
- **Fundamental analysis** An assessment of revenues, costs, debt, profit margins, and management.